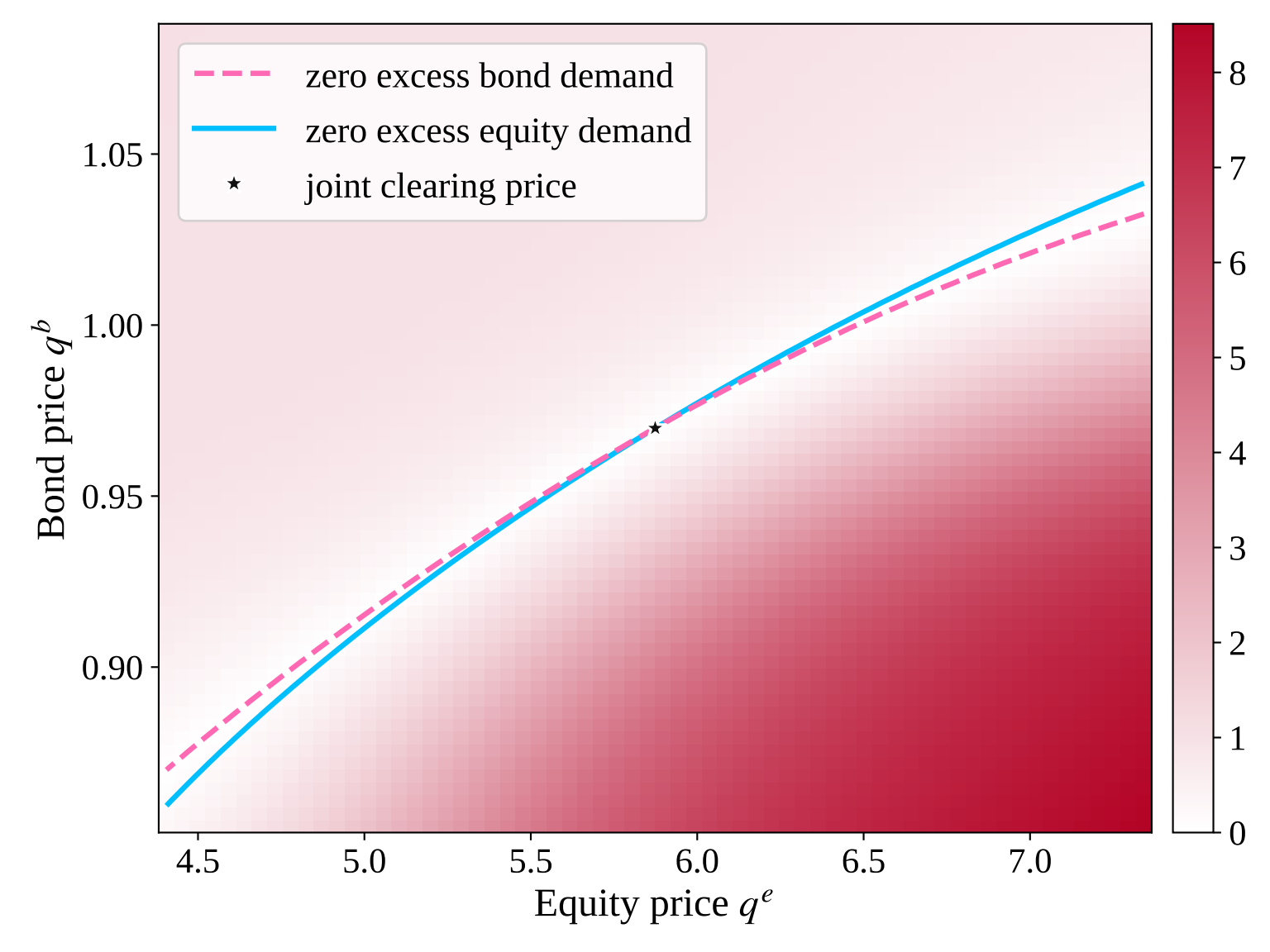

zero excess bond demand
zero excess equity demand
joint clearing price
1.05
1.00
0.95
0.90
Bond price q^b
4.5
5.0
5.5
6.0
6.5
7.0
Equity price q^e
8
7
6
5
4
3
2
1
0